

BEYOND THE EMYTH

The Evolution of an Enterprise: From a Company of One to a Company of 1,000!

BY MICHAEL E. GERBER



The Big “So What”

Most small businesses fail, and those that are profitable often rely on their founder to survive. **Business owners put in years of hard work, only to end up with a job that they are stuck with.** The solution is to build your business with the intent to sell it. Gerber’s best-selling “The E-Myth” and “The E-Myth Revisited” focus on helping business owners to think differently about their business. **This book takes it beyond the E-Myth to focus on how to start and build a scalable business that can be sold.**



Introduction: Growing from 1 to 1,000

Most business owners start a business to make money, focusing on selling products/ services to generate income. However, the business remains dependent on the founder for survival, i.e. it’s a “Company of One”, and the owner is stuck with a job.

Ultimately, a successful business is not one that sells a lot of products or services; it’s one that is such a great product in itself, that people want to buy the *entire business*. In short, your business is your primary product, and a great business is one that can scale without its founder.

You need not actually build a company of 1,000 employees, but you must demonstrate that your company has the *capability* of growing to 1,000 people and beyond. Building your business from this perspective means an entirely different business model, from the products/ services you offer, to the clients you serve and the way you operate. Rather than try to fix the company you already have, Gerber suggests that you apply his framework to a “NewCo”, i.e. to create a new business that’s designed from the onset to grow from a Company of 1 to 1,000.

KEY QUOTES

“It is easy to start a company. It is difficult to sell a company. If you don’t consider your Exit Strategy from the beginning, you’re simply creating a job for yourself.”

“This book is going to teach you how to design, build, launch, and grow your company so that it can scale.”

“If you own a small business, and if your business depends upon you to survive, it’s what I call ‘a Company of One.’”

“The sad and tragic story of most small business owners when their business comes to a close is that... so does their life!”

“Unless you start your business with the intention of selling it, it will almost always turn out to be a disaster.”

For this to work, you as the business owner must meet a few criteria:

- Your **passion** must be stronger than your excuses, fears and inertia.
- You must be **teachable**, willing to learn and try new ideas. Even if you've heard a concept before, refrain from dismissing it too early as a cliché. Until you've personally lived/ experience the concept, you don't really know it.
- The journey to exponential growth is a step-by-step process. It's not easy, and it won't happen overnight. To succeed you must be **committed** to stick to the end.

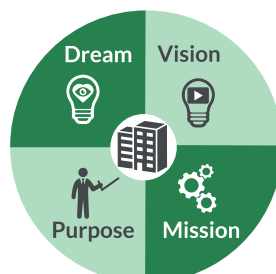
This summary organizes the ideas and examples in the book into 5 parts, mirroring the 5 steps to grow from a Company of 1 to 1,000.



Part 1: Why Do You Exist?

To stand out from the crowd, **you must be able to answer this question, "What does my company exist to do, and why?"** This will encompass your Dream, Vision, Purpose and Mission (elaborated below).

Since the inception of the E-Myth paradigm in 1977, Gerber has worked with more than 100,000 small business clients. He realizes that most of these business owners are functioning like technicians, working in their business like how they would in a job. To make the switch and start working on their business, they need to awaken the entrepreneur in them. **Every entrepreneur is not just one personality, but 4 personalities rolled in one: The Dreamer, Thinker, Storyteller, Leader.** Combined, they hold the answer to the key question above.



The Dreamer and The Dream



In every entrepreneur, there's a Dreamer with a Dream. **Your Dream is the great outcome that your company will create.**

KEY QUOTES

"Everything is a cliché... until you live it... when you experience them, they cease being clichés. They're what's called, instead, life."

"You've got to be a stayer if you're going to be a player."

"From its very beginning... you (must) intentionally and consciously and audaciously design, build, launch, and grow your company as if you intend to franchise it."

"Your buyer isn't looking for the company you are today. Your buyer is looking for the company you'll become in the future."

"A true entrepreneur's Dream is not personal. It's impersonal. It's not about the Dreamer; it's about the consumer."

- The Dream is not about what you want personally (e.g. your desired lifestyle, amount of wealth). **It's all about your customers**—who they are, the pains that they face, the cause of the pain, and how things will be like when your company excels at solving the pain.
- In expressing your Dream, **you must consider 2 sets of customers:**
 - o The strategic customers who will buy your company; and
 - o The retail customers who will buy your products/ services.

When buyers evaluate a company, they have their own exit strategies in mind (e.g. going for IPO, getting the company acquired or growing it as part of their business). **Your strategic customers are most likely to be companies that share your customer base**, and can realize huge value by incorporating your solutions with their own businesses. Focusing on these customers helps you to build the right company that serves the right customers, with the right solutions.

- **How do we find the dream?** Well, **we all have the Dreamer in us –we just need to step aside and allow the Dreamer to express him/herself.**
 - o The Dream often surfaces in an unplanned fashion, as a flash of inspiration or intuition. This happens when our mind is open and receptive, like an open channel or door. Unfortunately, most of us are constantly caught up in the daily grind, and distracted by irrelevant information/ clutter. Only by putting aside what you know (or think you know), can you truly discover and create something new.
 - o To help small business owners to discover their dreams, Gerber designed The Dreaming RoomTM. Over 2½ days, business owners literally rediscover themselves with a blank sheet of paper, and a “beginner’s mind”, answering fundamental questions like: “Who am I?”, “Why am I here?”, and “What do I really want?”.
 - o Gerber found that *everyone* has one thing they stand for, e.g. love, spirituality, personal responsibility. It calls to us personally and specifically, for reasons we cannot define. It's the essence of who you (The Dreamer) are. Hence, **your Dream is a part of who you are, and it powers your Vision, Purpose and Mission.**

KEY QUOTES

“Unless... you have a clear picture of who's going to buy your company, you will more than likely spend years going after the wrong retail consumer, with the wrong product, and end up creating the wrong company.”

“How you start NewCo will determine how you end NewCo.”

“(The Dream)...happens right now, not in the future. It's a state of being, a presence, not a pursuit of something.”

“They were accessible to what ‘came to them.’ They were literally an open door. A clear channel.”

“Our job was to get out of the way of The Dreamer within... (so we could) fulfill the promise we had each, knowingly or unknowingly come to fulfill.”

“Before we discovered our Dream, we first... had to discover (or uncover, or recover) our Dreamer.”

The Thinker and The Vision



To manifest your Dream, you need a Vision, and in every entrepreneur there's also a Thinker with a **Vision** - the form your company must take (including how it how it thinks, acts, and looks), to deliver that great outcome of your Dream.

Rather than learn everything from scratch, it's more effective to model a proven system - a real-life company that has (a) already delivered similar end results, and (b) has a turnkey capability to predictably deliver those results again and again. Gerber cites McDonald's as one of the best references.

The idea is not to copy the model company exactly, but to learn what works, and adapt them for your desired outcomes. A vivid Vision helps you to visualize in detail the Franchise Prototype you must build. Your end-goal is to build a scalable company, by having a model that anyone can duplicate in a predictable way.

The Storyteller and The Purpose



In each entrepreneur, there's a Storyteller with a Purpose. Your Purpose is the **big result that you'll deliver for your most important customer ("MIC")**; it's the story of why your company is valuable.

When you share your story, people will listen from different perspectives and respond differently - they may love it, hate it, or totally not grasp it. Yet, someone who loves your story may not take action, while another person who's clueless may resonate with it in future. You can't predict who'll be your MIC; just share your story with passion to anyone who'll hear it.

Telling your Story serves 2 objectives:

- It spreads your Dream/ Vision; and
- It stimulates your imagination, to give you a bigger vision and new possibilities you may not otherwise see.

It's important to remember that the Storyteller tells the story, not sell it. A great story touches its audience's mind and heart, and the way to do so is to focus singularly on **one core frustration**. To get inspiration on how to express your dream with passion, watch Dr. Martin Luther King's "I Have a Dream" speech.

KEY QUOTES

"You must first see what you're about to create, if you are ever going to be able to actually create it. And, of course, both must happen if you are ever going to be able to sell it."

"The intensity with which you impress your subconscious with a picture of your plan directly affects the speed with which the subconscious will go to work to attract the picture's physical counterpart by inspiring you to take the right steps."
- Napoleon Hill

"Your Story has got to address one thing, and only one thing."

The Leader and The Mission



Finally, every entrepreneur has an inner Leader, who's on a Mission to bring the Dream, Vision, and Purpose to life. **Your Mission is the turnkey operating system that makes it possible for your company to operate successfully.** "Turnkey" is basically the opposite of randomness – it affects your ability to repeatedly deliver and duplicate your success.

In Parts 2 and 3, we'll take a closer look at your turnkey systems, including Client Fulfilment, Client Acquisition, Management and Leadership.

Putting it Together



In the book, Gerber elaborates on the E-Myth journey since 1977, using it as a case study to inspire our own Dream, Vision, Purpose and Mission.

For Gerber and E-Myth, the big "Why" is as follows:

- **Dream:** "To transform the state of small businesses worldwide."
- **Vision:** "To invent the McDonald's of small business consulting". Specifically, the E-Myth vision is to have such a well-orchestrated consulting system that any novice can be coached to deliver a scalable business.
- **Purpose:** "To provide every small business owner with the ability to succeed, just like the McDonald's franchise does".
- **Mission:** "To invent the turnkey Business Development Operating System essential for every small business company to operate as effectively and efficiently as the most successful of companies do. All at a cost any small business owner could readily afford."

Recall that you have 2 sets of customers: your retail and strategic customers. **Knowing your intent helps you to define your potential buyers, and package your company to make them fall in love with it.** For example, the potential buyers of a small-business consulting franchise like the E-Myth are: Intuit, Microsoft, Gallup Organization, or companies that incubate or fund start-ups.

KEY QUOTES

*"Your Dream gives it energy.
Your Vision gives it form.
Your actions give it the life
needed to produce it in
reality."*

*"The System runs the
business, and the people run
the System!"
- Ray Kroc, McDonalds*



Part 2: Client Fulfilment System

Uncovering the Truth



Many of us have become dependent on technology (like calculators, mobile apps, social media) to do much of our thinking and connecting for us. We've learnt to rely on data and numbers, and stopped asking important questions like "Who are you?", or "What's causing this pain and how can we solve it?"

To build a great company, your biggest job is to think – get to know your customers better than they do, so you can offer them solutions they can't find themselves. From Part 1, we've developed a rough idea of your exit strategy, customers and desired outcome. Now, you must start working on your company, by talking to your customers and asking questions (but *not* selling to them).

Specifically, your goal is to establish who your customers really are, why they behave the way they do, what are their key frustrations, what they do to cope, and what's the underlying cause for these frustrations. **To deliver a promise that deeply impacts them, you must uncover the problems beneath their frustrations.** Ask yourself, "What's missing in this picture?"

For example, the E-Myth started in 1977 as Michael Thomas Corporation (MTC, a collaboration between Gerber and his partner, Thomas). They called every small business owner in their area, explained their research goals, and made appointments to speak with the owners. They asked about the most difficult problems for the owners, how these showed up in the business, and what solutions had worked so far. They then invited the owners to a free meeting to address these frustrations.

Through these sessions, they discovered that the underlying problem for small business owners was this: they were essentially technicians (e.g. accountants, designers) who had specific skillsets, operated their businesses like a job, and thus limited their own ability to expand. They were not behaving like entrepreneurs; they were "technicians suffering from entrepreneurial seizures".

Narrowing the Gap



Once you've found the underlying cause and solution, your goal is not to give your clients the answers. Instead, help them to find the key to their core problem, i.e. **help them to pinpoint their gap.** It's

KEY QUOTES

"Our power to think is being rapidly deteriorated...Use it (our minds) or lose it has become a reality today."

"Your credibility is measured according to the model you're using."

crucial to **develop a measurement or metric** for whatever model or system you create. This sets a context for your relationship with your most important customer, and allows you to demonstrate that their gap is being narrowed (with verifiable results).

Going back to the E-Myth example: having identified the problem, MTC's next task was to create a system that could help their clients to make the switch from technicians to entrepreneurs, e.g. focus on equity (not income), define their reason for existence (not solve day-to-day problems).

They developed the "Needs Analysis Process" – an entirely-scripted process, which was used by their senior marketing associates to engage clients-to-be. The business owners were systematically taken through 6 progressive stages or benchmarks, until they realized they had gaps and missing systems they had to plug. This process allowed clients-to-be to experience a "live demo" of a system at work, and reinforced the business model and promise that was defined earlier for MTC. The Needs Analysis also comes with a checklist of systems that a business requires – by revisiting the checklist, the client can see how far the gap has been narrowed.

Capturing the Process



Initially, you'll need to work both **in** your business (calling/ meeting/ talking to people to understand them and what it takes to fulfil your dream) and **on** the business (improving and coding the processes). This is a rigorous process of documenting *everything* - including the visual, emotional, functional and financial components of your company - to show how you think, do, and grow as a business. When complete, your Client Fulfilment System has all the "how-to" manuals in place, to deliver the promise to your most important customer, as defined in your Dream, Vision, Purpose, and Mission. You're now ready to grow your company.



Part 3: Client Acquisition System

In this phase, your goal is to ensure there are enough potential customers for all the franchise companies you'd want to replicate.

Compelling Story



Acquiring customers goes beyond manipulation, persuasion or sales transactions. It's about moving people with your compelling Story.

KEY QUOTES

"Your job is to help (your clients-to-be) discover the answer to the main underlying problem they have... to help them identify their gap."

"The point of Client Acquisition is not to make a sale. The point of Client Acquisition is to make a true believer."

- Unfortunately, there's no magic formula for your Great Story. You can't blindly follow the standard formulas from "marketing gurus", or you'll just sound like every other company.
- A Great Story comes when you persistently seek the truth, putting your customers' needs above yours. Consider Steve Jobs, Ray Kroc, and Richard Branson – they're all brilliant businessmen, yet what draws people to them are the fact that they are much bigger than their businesses. **Your story is not a marketing pitch, but serious work that stems from a real calling.**

How do you go about crafting this story?

- You must first probe deeply to find what's truly missing, the price that your clients are paying for it, and the truth that your story will reveal. Your work in Parts 1 and 2 is the foundation for your story.
- Then, start with a blank sheet of paper (literally), and just allow the story to flow. Focus on your audience, presenting the truth about their needs and underlying problems. Don't worry about grammar, structure etc. Allow the story to flow from and through you.

Acquiring Clients



Leads Generation (attracting people to you). This includes: identifying your best customers, finding them, and having them say (via a click, email, or response), "I'd like to know more".



Leads conversion (making them customers). This primarily involves needs verification and the offer for your solution. Gerber advocates that you establish a sound Client Fulfilment System (including production and delivery), before building your Client Acquisition System. Otherwise, you won't be able to convert the clients that you painstakingly attract into long-term customers.

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KEY QUOTES

"(Your Great Story) will only come to you when you take your audience more seriously than you take yourself."

"A Great Story lives within the truth it reveals."



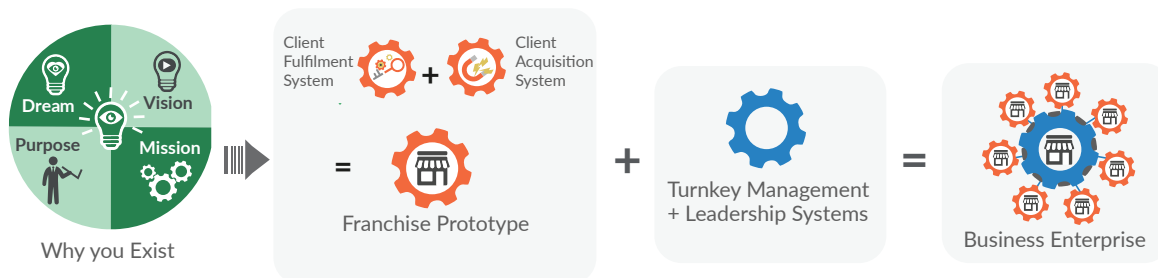
Your Franchise Prototype is what you must build to demonstrate that your company can grow from 1 to 1,000. It allows you to work on your business and your life (not in it), so you can see the bigger picture of how you can create value and a legacy that can change the world.



Part 4: Turnkey Management System

Geber defines a business as the sum of up to 7 turnkey practices, powered by a turnkey Management System. Assuming you've completed all the parts above, you're now ready to replicate your Franchise Prototype, and develop a system to manage all the component parts.

Specifically, your Client Fulfilment System functions as the hub of your business wheel, while your turnkey Management System is the supporting software which empowers every person/ role to function smoothly, to keep the hub and spokes spinning.



The turnkey Management System acts as the glue to enforce your brand and hold the pieces together, so things don't fall apart. It includes 4 key components:



Innovation. Put in place a leadership system that encourages people to constantly find better ways to do things;



Quantification. Test / measure results from innovations to assess if they are working (e.g. customer responses, conversion ratios);



Orchestration. Once an innovation works, document what is done and how, so you can integrate it into your systems and equip anyone to deliver the improved results; and



Continuous improvement. Every innovation eventually

KEY QUOTES

"We were all born... to create the world. And the way we do that... is to go to work ON our lives, not just IN our lives."

"If there's a way of doing something, there's a better way of doing something."

"Every company is a school... for... the people it attracts, hires, inspires, teaches, trains, coaches, and mentors, to become masters at everything they are expected to do."

becomes dated, and the only way to stay ahead is to continuously improve and grow. Treat your company like a school, with opportunities for your stakeholders to learn and improve with each iteration.



Part 5: Turnkey Leadership System

In Part 1, we covered how the Dream, Vision, Purpose and Mission stem from who you are. It forms the DNA of your company and enterprise. **To lead, you must inspire, which requires that you are first inspired by a higher calling. The turnkey Leadership System in turn inspires every person in your organization to discover the leader in themselves.**

Such leadership is manifested in several ways:

- The company's Great Story is built on such profound truths and passion that everyone knows it, believes in it, and can **retell the Story** with their own perspectives and flavour.
- There is so much conviction in the company's vision, and such deep understanding of the organization and customers, that the leader can practically **foretell the future** with certainty.
- The leader is sensitive to the flow of energies and the company's **evolution**, and repositions resources effectively.
- The leader **listens** to both expressed and hidden messages, and is sensitive to both the verbal and non-verbal cues, to know when the Company has fallen out of sync with its core Purpose.
- The leader has **defined standards** (which are aligned with the Dream, Vision, Purpose Mission) and lives by them.



Other Details in the Book to Look out For

This is more of a conceptual than "how-to" book. Gerber uses the EMyth journey as a case study to show how the company evolved from the early stages of founder-driven information-gathering and prototyping to the systems today. The book ends with a promotion of "The Program", which will take you through the process outlined in this book, to identify your Dream, Vision, Purpose, Mission, and grow your enterprise from a Company of One, to 1,000 or more. For more details, please visit emyth.com.

KEY QUOTES

"This purest manifestation of inspiration is not driven by some obligation to be 'good', for gain or reward, but rather as a calling, invisible such as that might be."

"Your company is the product you're creating to produce the legacy of your life."